

UNIT FIVE

USUFRUCT

DEFINITION

Usufruct may be defined as a real right, temporary or for life, which entitles a person called, the **usufructuary**, to possess, use and enjoy a thing and its natural fruits which belongs to another person called the **bare owner**, , **with the duty of preserving its substances and restitution to the bare owner up its termination**. See Art 1309(1), 1328, 1347, 1348, and 1311 of the Civil Code.

Though the owner has transferred these rights, he retains one of the major elements of right of ownership, i.e., the right to dispose of the thing. We can also deduce from this that the usufructuary has the duty to preserve the thing and restore it at the time of extinction of the usufruct.

A right of usufruct may be created in relation to

- Incorporeal things
- Corporeal things
- Movable things
- Immovable things

By its nature usufructs presupposes the possibility to use and enjoy a thing and its fruits while preserving its substance suffices as obligation.

SOURCES OF USUFRUCT

Art 1310 of the Civil Code provides that, in the absence of provision to the contrary, the rules governing the acquisition, transfer, extinction of right of ownership shall apply to the acquisition, transfer or extinction of usufruct right.

Thus, therefore, usufruct may arise from;

- The law
- Contract
- Will

Usufruct may be created by agreement or contract for consideration or without consideration. According to Art 2410 of the Civil Code, an owner may transfer the usufruct of a thing by contract for consideration. In such cases, the rules governing contracts of sale shall apply. The rules as to the form and publicity requirements for contracts shall also apply to contracts creating usufruct.

Hence, contracts creating usufruct right on immovable things and special movable things shall be made in writing and registered with the organ registering immovable things or special movable things. See also Art 1723 of the Civil Code.

Usufruct may also be created by a will of the deceased owner. The owner of a certain property may, by his last will, bequeath on another person the right to possess, use and enjoy and collect the fruits of the thing after his death. See Art 912 and 929 of the Civil Code. A person may be given a right of usufruct until death of the deceased owner and after his death the usufruct may be transferred to his or her heirs who are called to it.

Usufruct may be created for a limited period of time or for lifetime of the usufructuary. See Art 1322(1) of the Civil Code.

Usufruct created in favor of bodies corporate or properties with specific destination shall terminate after 30 years or such shorter period provided by the contract or will creating it. Refer to Art 1322(2) of the Civil Code.

RIGHTS AND OBLIGATIONS OF THE USUFRUCTUARY

1. **The Conservation of the Substance of the Thing:** The usufructuary shall have the obligation to conserve the thing, its form, structure and particular identify. For example, he/she cannot change a field into a forest, a vineyard into a yard, or change the outer or interior layout of a house. See Arts 1309(1) and 1330(2) of the Civil Code. **However**, the usufructuary can make changes that increase the value of the thing without changing its form. For example, the usufructuary may change wooden or dirt walls to concrete walls thereby increasing the value of the house. **However**, he may not claim payment of compensation, at the time of the extinction of the usufruct for improvements, for the improvement he has brought to the thing under usufruct. See Art 1336 of the Civil Code.
2. **The usufructuary has the right to use and enjoy the thing, and its fruits.** However, he has an obligation to exercise **due care and diligence like a diligent head of family** and must use the thing following the pattern established by the owner and he must follow the prior use of the thing. Hence, the usufructuary cannot use a hotel for a different purpose, or a house as a hotel. Refer to Arts 1312, 1330/2/ and 1328 of the Civil Code. Furthermore, where the bare owner can prove that the usufructuary is not performing his duties under these Arts, the court may order the latter to furnish security, in the form of pledge, mortgage or personal guarantee, to protect the interests of the former. See Art 1324 of the Civil Code.
3. **The obligation to up-keep the thing:** - The usufructuary has an obligation to have regular maintenance and repair works done **at his cost**. See Art 1313 of the Civil Code. He also has an **obligation to inform the bare owner** where the thing requires major or **considerable repairs where he is not at fault for such** damage or deterioration of the thing that made such repair necessary.

However, he will be **liable for considerable or major repairs**, if they became necessary because of deterioration **due to his fault**, i.e., damages resulting from failure of the usufructuary to have regular maintenance and repair works done. Considerable or major repairs are repairs that require expenses that are greater than the average annual income generated by the thing. See Arts 1337 and 1338(2) of the Civil Code.

4. **The usufructuary has an obligation to pay all the charges encumbering the profits** of the thing such as annual taxes such as land tax, building tax or income taxes and other charges that are normally payable out of the income derived from the thing. See Art 1314 of the Civil Code.
5. **The usufructuary has an obligation to inform the bare owner about any act of interference by a third person** in the rights of the bare owner. For instance, he must inform the bare owner of any person, whether in court or outside of a court, challenging the right of ownership of the bare owner over the thing. Where a usufructuary fails to comply with this provision and the bare owner loses his right of ownership, he shall be liable to compensate the bare owner as if he himself caused the loss or damage of the rights of the bare owner. See Art 1342 of the Civil Code.

On the other hand, the usufructuary as a possessor of the thing, shall have a right to bring possessory action and to use force to protect his possession in case where any person, including the bare owner, interferes with his possession of the thing. See Arts 1341, 1148 and 1149 of the Civil Code. The usufructuary will also have the right of usufruct over the compensation paid in case where the thing is lost or destroyed 1319(2)

6. **The usufructuary has an obligation, at the time of extinction of the usufruct, to restore or restitute the thing to the bare owner or his agent.** He shall be liable for the loss or deterioration of the thing, where the loss or deterioration resulted from his fault, such as abuse of the thing or failure to exercise due care in the use of the thing or negligence in the use and management of the thing, failure to make necessary or normal repairs...See Arts 1317 of the Civil Code.

OBLIGATIONS OF THE BARE OWNER

1. He has the duty to refrain from any kind of interference with the right of the usufructuary to possess, use and enjoy the thing and collect and use its fruits. For example, he cannot change the thing, which is subject of the usufruct nor can he use or exploit the thing or interfere with the possession of the thing.
2. He must undertake major repairs as defined under Arts 1337 and 1338, which are not result of the usufructuary's fault.
3. He has an obligation to cover extra ordinary charges. Art 1315

EXTINCTION OF USUFRUCT

1. **Death of the usufructuary**- a right of usufruct is sometimes called a personal servitude because it depends on the life of the usufructuary. In other words, the right of usufruct shall terminate up on the death of the usufructuary. See Art 1322(1)
2. **Lapse of the period for which it is created**. For example, a usufruct created for a period of five years shall terminate at the end of the five years. Art 1322(1)
3. **Extinctive prescription** – lack of exercise of any of the usufruct rights or complete absence enjoyment, use possession by the usufructuary or by his agent in relation to chattels/ ordinary corporeal movable things/ shall result in the termination of usufruct. See Art 1310 cum 1192 of the Civil Code.
4. **The loss or destruction of the thing**; Similar to the case of loss of ownership right, usufruct shall also be extinguished as a result of the loss or destruction of the object of property. See Arts 1319, 1310 cum 1188 of the Civil Code.
5. **Consolidation or merger of the position of the bare owner and the usufructuary in one person** shall also result in the extinction of usufruct right. This happens when the usufructuary acquires bare ownership (by contract or succession) or when the bare owner acquires the usufruct by contract. See Arts 1676/1/ cum 1842 of the Civil Code.
6. **Forfeiture or waiver of right by the usufructuary**; A right of usufruct of chattels shall be extinguished where the usufructuary expresses, clearly and unequivocally, his intention to waive his rights as a usufructuary. See Arts 1310 cum 1191 of the Civil Code. Refer also to Art 1676/1/ cum 1825 of the Civil Code.

❖ *Should this provision apply to the extinction of usufruct over immovable things and special movable things? Note that the provisions of Art 1191 apply to chattels only.*

7. **Acquisitive prescription in favor of a third party**; As we have seen in relation to ownership right, the right of usufruct shall be extinguished as a result of acquisition of usufruct right on the thing in favor of another person. **See Art 1310** cum 1168 of the Civil Code.

RIGHT OF HABITATION

- A right of use exercised over residential houses or premises
- The right of habitation includes the whole house, its object and all its accessories. However, the beneficiary must not exercise his right beyond the needs of him and his family's residence.
- Art 1353 of the Civil Code defines the right of habitation or right of occupation of premises as a right to live in a house or part of a house belonging to another person. The beneficiary of the right of habitation has the right to live in the house with his/her spouse, direct ascendants, descendants and servants. See Art 1354 of the Civil Code.

- The beneficiary of right of habitation whose right is limited to part of a house also has the right to use parts of the building/house and the compound that are intended for the common use of all occupiers of the building. See Art 1355 of the Civil Code.
- The beneficiary of the right of habitation has an obligation to cover costs required for regular repairs and maintenance of the house in which he lives. However, where his right is limited to part of the building and the owner occupies the other part of the building such expenses are to be covered by the owner of the house. See Art 1356 of the Civil Code.
- Similar to the rights of usufruct and use, a right of habitation is personal to the beneficiary and hence cannot be transferred and may not pass to his heirs. See Art 1357 of the Civil Code.